

Sustainable Materials & Market Intelligence Briefing

Thursday, 8 October 2026 · Prepared for Amy, CEO — KAESA

1. Materials & Innovation

Bottega Veneta puts mycelium into commercial small leather goods. Kering's Bottega Veneta released a limited six-piece collection replacing bovine leather in its signature intrecciato weave with **Ephea**, a mycelium material from Italian biotech SQIM. Creative director Louise Trotter says the range will "continue to evolve through future collections." Kering chief sustainability officer Marie-Claire Daveu ties it to concrete targets: **40% of Kering products from alternative materials and a 30% cut in leather intensity**, with 20% of revenue from innovation by 2035.

Source: <https://www.vogue.com/article/your-new-bottega-veneta-bag-could-be-made-from-mushrooms>

A cautionary note from the last boom. Bolt Threads ceased Mylo production in 2023, MycoWorks shut its South Carolina plant in 2025, and Natural Fiber Welding narrowly escaped bankruptcy. The lesson: pilot with funded, vertically-integrated suppliers like SQIM — which raised €11m in 2024 backed by **Kering Ventures, CDP Venture Capital and the European Circular Bioeconomy Fund** — rather than speculative at-scale contracts.

Source: <https://vegconomist.com/materials/mycelium-moves-luxury-accessories-sqim-launches-ephea-uma/>

Mycelium manufacturing crossed a real scale threshold. Researchers in *ACS Applied Bio Materials* grew *Trichoderma reesei* in submerged fermentation tanks — like brewing equipment — producing mycelium sheets **20 cm wide and 8 metres long** on roller systems adapted from paper manufacturing. Tensile strength reached **parity with traditional leather**; the material degraded in water within 28 days and composted industrially in about six weeks. Tear resistance still needs work.

Source: <https://www.acs.org/pressroom/presspacs/2026/august/your-next-handbag-could-start-with-mushrooms.html>

2. Policy & Regulation

The EU greenwashing rules are live — and they bite today. EmpCo (Directive (EU) 2024/825) became applicable across the EU on **27 September 2026**. It bans generic claims — "green," "eco-friendly," "sustainable" — unless backed by **recognised excellent environmental performance** (EU Ecolabel or EN ISO 14024 Type I schemes), prohibits carbon-neutrality claims

based on **offsetting**, and invalidates any sustainability label not established by a public authority or a qualifying scheme. It applies **to products already on market** — no transition period, same rules for small brands and billion-dollar retailers alike.

Source: <https://sustainablefutures.linklaters.com/post/102o0ge/esg-quick-guide-eu-greenwashing-rules-empowering-consumers-for-the-green-transi>

Source: <https://www.bluesign.com/empco-what-brands-can-say>

EU textile Digital Product Passport: the floor moved to ~H1 2029. The ESPR delegated act for textiles is expected **Q4 2027**, with a transition of **at least 18 months** after adoption. The EU central DPP registry went live **20 July 2026**. The JRC preparatory study reached its third milestone in December 2025; the fourth (policy scenarios) is still pending. Footwear was pulled from the first wave and gets its own 2027 scoping study.

Source: https://single-market-economy.ec.europa.eu/single-market/digital-product-passport/textile-apparel_en

Source: <https://wetrack.fashion/guides/dpp-compliance-deadline-fashion-timeline/>

Korea's ESG disclosure roadmap is finalised — and it tightened. Announced **8 July 2026**, KOSPI-listed companies with assets **≥ KRW 10 trillion** must file ESG disclosures from **2028 (FY2027)** — down from the draft's KRW 30 trillion. Threshold falls to KRW 5 trillion in 2029 and may reach KRW 2 trillion by 2030. Scope 3 is deferred to 2031; third-party verification is mandatory from 2030. Safe harbour covers forecasts, but **not intentional greenwashing**.

Source: <https://www.fsc.go.kr/eng/pr010101/87276>

Source: <https://www.asiae.co.kr/en/article/2026070716191998648>

3. Market Intelligence

Secondhand is growing 3× faster than the primary luxury market. BCG and Vestiaire Collective surveyed 7,800 consumers: resale sits at **\$210-220bn today, projected to \$320-360bn by 2030**, growing ~10% annually. Resale makes up **40% of handbags** in surveyed wardrobes — and **79% of consumers named handbags as the category where they most want Digital Product Passports**, followed by authentication and product specs as the most valued DPP features (70% when buying).

Source: <https://www.bcg.com/publications/2025/how-fashion-luxury-brands-can-win-secondhand-market>

Personal luxury goods return to measured growth. Estimated at **€386bn in 2026, up 5.4%**, with **leather goods the single largest value contributor**. The certified resale market crosses **€48bn (+14% YoY)**. The defining consumer is a 28-40 urban professional who researches provenance before purchase and rewards houses pairing craft with credible sustainability and authenticity stories.

Source: https://www.mcleukerai.com/examples/reports/luxury_intelligence/example.pdf

Houses are entering resale directly and capturing the margin. Chanel expanded "Chanel Pre-Owned" into Asia-Pacific in February 2026. Hermès' "Reborn" pilot for Birkin and Kelly achieved sell-through **above 90%** at average resale prices of **118% of retail** for certified pieces. Kering's Gucci Pre-Loved reportedly holds ~12% of Gucci handbag secondary transactions in North America and Europe.

Source: <https://pmarketresearch.com/worldwide-luxury-handbags-resale-service-market-research/>

4. For Your Radar

Microfiber regulation is forming around you. The Nature Conservancy launched the **Microfiber Action Alliance** on 6 October 2026, with Nike, Patagonia, Under Armour, lululemon, Cotopaxi and REI. Microfibers are **over 30% of ocean microplastics**, and the alliance flags prevention over removal. Pair this with Parkdale's 6 October acquisition of **CICLO**, a biodegradable additive for polyester and nylon, and the industry is standardising on low-shedding construction as an engineering parameter from day one.

Source: <https://www.nature.org/en-us/newsroom/microfiber-action-alliance-launch/>

Source: <https://innovationintextiles.com/parkdale-takes-full-ownership-of-ciclo-technology/>

Recycled cotton's commercial ceiling is under review. Fashion for Good launched the **Cotton Reloop Matrix Project** on 7 October with Arvind, BESTSELLER, C&A, Interloop, Reformation and Shahi. Mechanical recycling loses **50-55% of input fibre** to shredding, capping most commercial yarns at ~**10% recycled content**. Worth watching if you specify cotton-heavy linings or dust bags.

Source: https://infashionbusiness.com/home/news_details/8671/9

The strategic risk is greenhushing, not over-claiming. With EmpCo live, going silent on genuine progress carries its own cost — specific, checkable claims outperform general assurance with consumers anyway. **Next step for KAESA:** audit every product page, filter, collection name and hangtag against the EmpCo blacklist, reword rather than delete, and begin the DPP data groundwork (fibre composition, origin, durability evidence, recycled content) now, so 2029 is a runway and not a cliff.

Source: <https://www.vogue.com/article/what-do-the-eus-new-greenwashing-rules-mean-for-fashion>